

RH (NYSE: RH)

The Levered Luxury Bet A Call Option, Repriced Honestly

Equity Research Note · Consumer Discretionary — Homefurnishing Retail · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$177	\$120.46 Oct 2, 2026	+46.9%	High Beta 1.86

Snapshot			
Market cap	~\$2.28 bn	Shares out. (dil.)	~18.9 m
Enterprise value	~\$4.54 bn	52-week range	\$106.30 – \$239.40
Net financial debt	\$2.26 bn / 4.2x EBITDA	YTD / 1-yr return	-31% / -38%
FY26E rev / adj. EBITDA	\$3.63–3.68 bn / 15–16%	Trailing / fwd P/E	21.3x / 14.1x
Term loan maturity	\$2.5B, Oct 2028	Book equity	\$61 m (buybacks)
Next catalyst	Q3 results (Dec)	Street consensus	\$165.57 avg (Hold)

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates. This note supersedes the September 28, 2026 edition (BUY, \$265 target), which is withdrawn.

1 Investment Thesis

We keep the **BUY** but cut the target from \$265 to **\$177**. The September note's DCF had three leaks the hardened rebuild closes: terminal growth of **2.8% base / 3.3% bull** (above the 2.5% cap), weights of **30/50/20** instead of 25/50/25, and — most importantly — a **9.5% base discount** for a company with 4.2x leverage, \$61M of book equity, a \$2.5B term loan maturing in October 2028, and a beta of 1.86. That is not a 9.5% cost of capital; it is a 12% one (speculative tier), with the bear at 14.5% and the bull at 10.5%. Rebuilt honestly, the three scenarios are **~\$0 / \$191 / \$326**, weighted to **\$176.85 → \$177 target, +46.9%** against the \$120.46 quote. The thesis is unchanged — a luxury brand at an earnings inflection with a product catalyst, a fading margin drag, and a capital structure that turns modest enterprise-value recovery into a large equity return — but the price of admission is now stated correctly: this equity is a call option, and options demand a discount rate that knows it.

Read the bear case first, because the leverage means it first. In our bear case — housing frozen to 2028, tariffs lingering, Estates underwhelming — the firm is worth \$2.0B against \$2.26B of net financial debt, and the equity is worth **~\$0**. That is not a modeling artifact; it is what 4.2x leverage does. The September note's bear was \$10; the hardened bear, discounted at 14.5% with revenue CAGR under 3% and margins compressed 650bp vs base, rounds to zero. Size this as a high-conviction, high-risk position — 2–4% of a portfolio, not a core holding — and the asymmetry is real: +47% to the weighted target, +171% to the bull case, against a well-defined zero.

Why own it

Inflection is underway; the price hasn't noticed. Q2 FY26 revenue (\$922.2M, +2.6%) and normalized adjusted EBITDA margin (13.4%) both beat the high end of guidance, with growth accelerating 4.2 points from Q1. The stock fell 48% from its high anyway — the market sees only the housing freeze and the margin drag.

RH Estates is the most important product launch in the company's history. A new collection priced ~45% above the core line, aimed at the 60% of luxury homes with classic/traditional architecture RH historically underserved — management believes it can double the addressable market. Early reads: genuinely new customers, 'overwhelmingly positive' response, 80% of volume galleries carrying it on the main floor by mid-November.

International swings from drag to driver. London Mayfair built a \$7M design pipeline in eight weeks — on par with Newport and New York. With no new European openings in FY27, the ~340bp pre-opening margin drag steps down while the revenue builds. Adjusted capex falls to \$175–200M from \$240–260M.

Mid-cycle earnings power is far above current earnings. At the last housing peak RH did \$3.59B of revenue at ~19.5% EBITDA margins; our base case compounds revenue ~7% to ~\$7.1B by FY35 with margins recovering to 20% (below the 27%+ FY21 peak), generating ~\$850M of annual free cash flow that delevers the balance sheet.

The gallery flywheel is a genuine moat. 138 locations including palatial Design Galleries with restaurants that generate ~65% of the aggregate rent of the galleries they sit in — the hospitality traffic pays for the real estate. New single-story galleries and Compounds (Naples/Aventura, 2027, 12–18-month paybacks) cut build costs as the capex cycle peaks.

Why the market should be nervous

The October 2028 maturity is the #1 risk. The \$2.5B term loan (SOFR + 3.25%) must be refinanced; interest runs ~\$225M a year — nearly 2x FY25 net income. Any sustained earnings disappointment raises covenant and refinancing risk, and the refinancing will almost certainly come at a higher spread than the 2021 vintage.

Housing could stay frozen through 2028. Existing-home sales at multi-decade lows, the 30-year mortgage near 7%. Furniture demand tracks turnover with a lag; if the freeze extends, revenue stagnates and the bear case (\$0) plays out.

Tariffs are a higher-cost world for 6–12 months. ~40% of the assortment sourced from China; resourcing takes 18–24 months. The \$55.1M Q2 tariff benefit flattered gross margin by ~600bp — the underlying cost pressure is the real story.

Estates could miss. 'The most prolific collection in the history of our industry' at a 45% premium, launched into a housing downturn. A miss delays the inflection 12–18 months and turns the inventory bet into a markdown problem.

Key-man risk: Gary Friedman. No public company in this sector depends as completely on one individual's taste and force of will. No disclosed succession plan.

Shareholder litigation. Multiple suits filed April 2026 investigate buyback timing and disclosures — the \$2.25B of 2022–23 buybacks at prices far above today's will be Exhibit A.

2 Company Overview

RH (founded 1979, rebranded 2012) is a luxury home-furnishings company Chairman/CEO Gary Friedman has spent 15 years transforming into a luxury lifestyle brand and experiential retail/hospitality platform: furniture, lighting, textiles, rugs, bath, outdoor and décor across Interiors, Modern, Outdoor, Baby & Child, Teen, and now Estates — sold through 138 RH Galleries, outlets, Source Books, and digital. The commercial engine is a \$200/year membership (30% off everything, free design services): the Costco playbook applied to \$10,000 sectionals. More than a dozen galleries house restaurants; the company is building 'the world's largest residential interior design firm,' moving from selling products to selling whole spaces.

The cycle in four years: FY22 (ended Jan 2023) was the peak — \$3.59B revenue, \$528.6M net income, 19.5% EBITDA margins. Then the housing freeze: revenue fell 15.6% in FY23, net income collapsed to \$127.6M, FY24 troughed at \$72.4M. FY25 began the recovery: revenue +8.1% to \$3.44B, EBITDA +20% to \$543.6M, free cash flow +\$249M. The business is roughly back to peak revenue at roughly two-thirds of peak earnings — that gap is the opportunity, and the international build-out is the reason it persists. Q2 FY26 (reported Sept 10, 2026): revenue and normalized EBITDA both beat the high end of guidance; adjusted EPS of \$2.70 crushed the \$0.39 consensus — but \$55.1M of tariff benefits flattered the print and Q3 guidance came in below the Street.

Balance sheet: the buyback legacy. FY22–23 buybacks of \$2.25B — funded by the \$2.5B term loan — cut diluted shares from 26.6M to 19.8M and wiped out book equity (\$61M today). Net financial debt \$2.26B is 4.2x TTM adjusted EBITDA (~\$1.5B of operating-lease liabilities treated as operating rent, consistent with the company's own leverage metric). Liquidity is adequate (\$125.5M cash, guided \$300–400M annual cash generation), but there is no margin for a multi-year earnings disappointment.

3 Competition

Williams-Sonoma is the quality comp and the valuation benchmark: 2.3x RH's revenue at 14.7% net margins vs RH's 3.6% — WSM shows what RH's P&L looks like without the international drag and leverage (growing +6.7% last quarter vs RH's +2.6%). Arhaus (+7.4% growth, lean balance sheet) is the purest premium-furniture comp and shows the category has legs. Wayfair competes for the wallet, not the luxury positioning. RH's moat is brand + experience + ecosystem — narrow-to-moderate, widening if Estates and international execute: experiential flagships competitors cannot copy cheaply, membership economics, design IP (Estates protected by trade dress/pending patents), and hospitality that manufactures desire.

4 Valuation — Hardened 10-Year DCF, Fair Value \$177

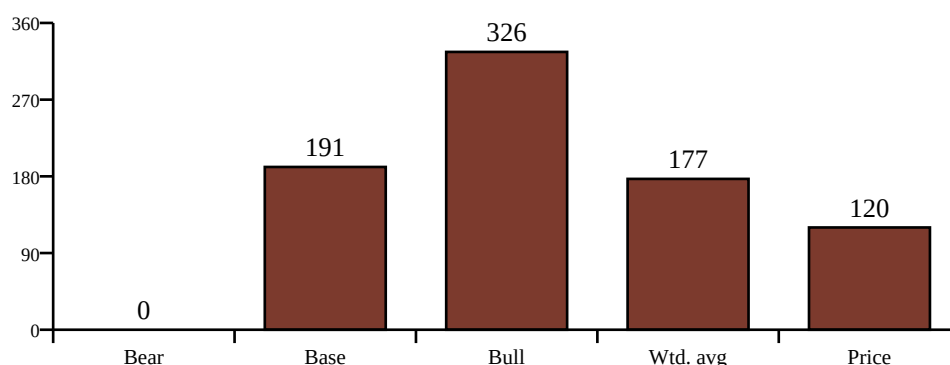
The September note's DCF is rebuilt under hardened rules: 10-year explicit free-cash-flow horizon (FY26–FY35), weights bear 25% / base 50% / bull 25% (not 30/50/20), terminal growth capped at **2.5%** (not 2.8%/3.3%), and — the change that matters most — scenario-specific discounts priced for the leverage: **base 12.0%** (speculative tier: 4.2x net debt/EBITDA, \$61M book equity, \$2.5B maturity in October 2028, beta 1.86, single-key-man brand), **bear**

14.5% (base + 250bp), **bull 10.5%** (base – 150bp). Terminal growth is **2.5% / 1.0% / 2.5%** on year-10 FCF at normalized mid-cycle margins (11.9% base — well below the 27%+ FY21 peak, never peak margins). Equity = firm EV minus \$2.26B of company-disclosed net financial debt, over 18.93M shares.

Scenario DCF (10-year FCFF):

Scenario	Rev CAGR	FCF path (\$M)	FCF mgn yr-10	Discount / term. g	Fair value
Bear	+2.5%	340 → 253	5.4%	14.5% / 1.0%	~\$0
Base	+6.9%	350 → 848	11.9%	12.0% / 2.5%	\$190.73
Bull	+9.5%	372 → 1,029	11.4%	10.5% / 2.5%	\$325.96
Probability-weighted (25/50/25) → \$177 target					\$177

Scenario fair values vs. current price (\$)



The spread is the story, and it is wider than September's: 4.2x leverage makes this equity a call option. In the bear case — housing frozen to 2028, tariffs lingering, Estates underwhelming — revenue CAGR stays under 3%, FCF margins compress 650bp vs base (11.9% → 5.4%), and the derating is total: firm EV of \$2.0B against \$2.26B of debt leaves the equity at **~\$0**. All three hurt conditions are met and the bear sits below the price, as the rules require. In the base case — Estates and galleries work, housing normalizes, revenue compounds 6.9% to ~\$7.1B, margins recover to 20% EBITDA — the firm is worth \$5.9B and the equity **\$190.73**. In the bull case — Estates doubles the addressable market, housing snaps back — **\$325.96**. Terminal value is 50% of base-case EV (no haircut required).

Price target: \$177 ($0.25 \times \$0 + 0.50 \times \$190.73 + 0.25 \times \$325.96 = \176.85 , rounded) — the target is the weighted hardened DCF, with no multiple overrule. The September note's \$265 rested on a 9.5% discount that underpriced the leverage by ~250bp and terminal growth above the cap; closing those leaks costs \$88 of target and none of the thesis. Cross-checks: 18x forward EPS on recovered earnings → ~\$157; 11x FY26E EV/EBITDA → ~\$209 — both below the DCF because they price trough-to-early-cycle earnings while the DCF captures the full deleveraging arc. What would falsify the BUY: housing frozen through 2028, an Estates miss, or a dilutive/distressed refinancing of the 2028 term loan — any of which pushes fair value toward the \$0 bear case.

5 Key Risks

Leverage and the October 2028 maturity (the #1 risk). \$2.26B net financial debt at 4.2x EBITDA; \$61M book equity; \$2.5B term loan (SOFR + 3.25%) must be refinanced, almost certainly at a higher spread.

Housing freeze persists. Four years of 'the worst housing market in 4 decades'; existing-home sales at multi-decade lows; 30-year mortgage near 7%.

Tariffs. ~40% China-sourced; 'a higher cost world for at least the next 6–12 months'; resourcing takes 18–24 months.

International execution. Germany impairments are a reminder the US playbook doesn't auto-translate; the FY26 drag is 340bp of margin.

RH Estates product miss. Enormous expectations at a 45% premium into a downturn; a miss delays the inflection 12–18 months.

Key-man risk: Gary Friedman. No disclosed succession plan.

Shareholder litigation. April 2026 suits on buyback timing and disclosures; headline risk regardless of merit.

Recommendation

BUY, \$177 target (+46.9%), High risk. The market is pricing a trough cyclical retailer with a scary balance sheet; the hardened DCF prices a luxury brand at an earnings inflection with a product catalyst (Estates), a fading margin drag (international), and a capital structure that turns modest enterprise-value recovery into a large equity return — at a discount rate that finally respects the leverage. Bear ~\$0 / base \$190.73 / bull \$325.96, weighted to \$177 against a \$120.46 quote. The September \$265 target is withdrawn: it was directionally right and arithmetically generous — a 9.5% discount and above-cap terminal growth flattered the equity by \$88. **This is a starter-sized, high-conviction, high-risk position: 2–4% of a portfolio, not a core holding.** Initiate at current levels; add on Q3 evidence that Estates is converting design pipelines into delivered revenue and that the international drag is rolling off on schedule. **Falsification:** housing frozen through 2028, an Estates miss, or a distressed 2028 refinancing pushes fair value toward the \$0 bear case — and we would exit.

Methodology & sources. Valuation as of October 4, 2026; share price \$120.46 (10/2/26 close). Model: 10-year scenario FCFF DCF, weights bear 25% / base 50% / bull 25%; discounts base 12.0% (speculative tier) / bear 14.5% / bull 10.5%; terminal growth 2.5% / 1.0% / 2.5% on year-10 FCF at normalized mid-cycle margins. Net financial debt \$2.26B (company metric); 18.93M diluted shares. Bear case meets the hurt conditions (revenue CAGR <3%, ≥300bp margin compression, ≥25% derating) and sits below the current price. Terminal value is 50% of base-case EV (no haircut required). Financials from company 10-K filings and Q2 FY26 press release/earnings call (September 10, 2026); market data via Yahoo Finance. This note is research analysis for informational purposes and is not personalized investment advice. Equity investing involves risk of loss. The author holds no position in RH at the time of writing.